

Lose the News

TO BECOME A better investor, you need to do more than eliminate bad ideas and misinformation; you must also be aware of your emotional state.

The barrage of news is emotionally distracting.

How can you defend against that noise?

Start by recognizing how much of media is simply pontificating. When you have 24 hours a day, seven days a week to fill, and an infinite amount of internet space, you end up with a lot of filler. Mostly opinion, much no better or worse than your own. Sometimes it's right, sometimes it's wrong—at times, hilariously so (as we shall see shortly).

Read or watch whatever media you want, but for God's sake, don't base your investment decisions on it.

News is hardly new. It is backward-looking, informing you as to what has already happened. Investing is about what is *going to happen*. The recent past may be of interest, but it's not germane to your investments. By the time news gets published, it's *already in stock prices*.

But news—old or otherwise—can have an impact on your emotions. When I started out as a junior trader, I read *The Wall Street Journal* on the train home—not on the way to work. Why? It prevented the news from influencing my decision-making process during the day. Emotional headlines affect us on a subconscious level, and we are often unaware how this impacts our thinking.

“If it bleeds, it leads” was the expression decades before social media. Personal finance author Andrew Feinberg writes that to financial television producers, “Anxiety is your friend, viewer hypervigilance your bread and butter.”²⁵ Keeping viewers “engaged by keeping them on edge, worried and confused about what might happen next” is the path to higher ratings.